www.aib-axysafrica.com
research@aib-axysafrica.com

AIB AXYS AFRICA

NCBA

NCBA Kenya Q3 Earnings Note

Begin trading Kenyan stocks online on our awardwining AIB-Digitrader App. Available on Google Play and Appstore



AIB AXYS DigiTrader

Scan to download the AIB-Digitrader App and begin trading



AIB AXYS AFRICA

P.O. Box 43676-00100 Nairobi, Kenya | E: info@aib-axysafrica.com
W: aib-axysafrica.com | DL: 0711047000, T: +254-20-7602550

Begin trading Kenyan stocks online on our awardwining AIB-Digitrader App. Available on Google Play and Appstore

Download on the App Store | GET IT ON Google Play

AIB AXYS DigiTrader

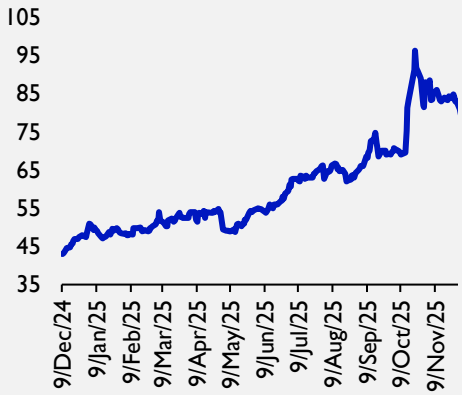
Scan to download the AIB-Digitrader App and begin trading

NCBA Group Q3'25 Earnings Note

9th December 2025

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 100.00
52-week low:	KES 28.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(10.0%)	10.1%	36.6%	76.1%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 76.50**	**KES 81.54**

Summary

- **NCBA Group posted 8.5%y/y growth in net earnings in Q3'2025 to KES 16.38 Bn. The performance was chiefly buoyed by a 27.4%y/y growth in net interest income, which came in at KES 32.04 Bn.** The main driver for growth in net interest income was prudent deposit pricing, in line with accommodative interest rate environment in the country which saw a significant 42.3%y/y drop in interest expense to KES 18.62 Bn from KES 32.28 Bn. During the period under review loan disbursement slowed down amid muted credit uptake, at the same time, customer deposits declined 5.2%y/y to KES 487.96, at faster rate compared to 3.5%y/y shrink in the loan book. On a brighter note, the gross Non-performing Loans eased 6.0%y/y to KES 38.68 Bn.

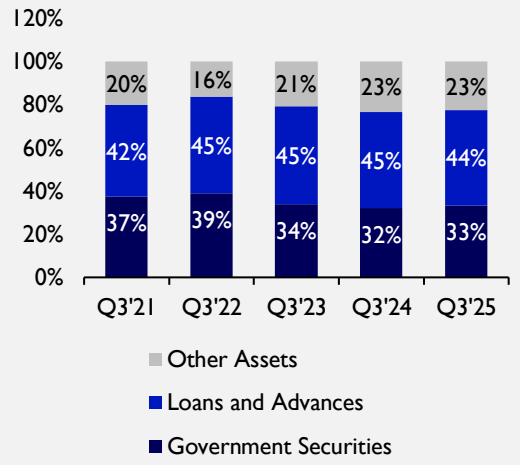
Key Highlights

- **Earnings Mix:** Interest income softened 11.8%y/y to KES 50.66 Bn; this performance can be linked to; i) 15.9%y/y decline in interest from loan and advances as the loan book contracted as well as a softening yield curve which compressed interest margins parallel to a downward revision of the lender's base rate, ii) a slight decline in interest from government securities, despite ramping up more liquidity in government securities, yields were on a downward trajectory which explains a slight decline in interest. Albeit, the decline in interest income; the lender took advantage of the interest environment to bargain for cheaper deposits which saw interest expense on customer deposits ease 42.8%y/y to KES 17.27 Bn, from KES 30.19 Bn, this was also augmented by a 6.0% decline in customer deposits which fell to KES 487.96 Bn. On the other hand, non-funded income declined 1.9%y/y to KES 21.40 Bn. The performance can be linked to 27.2% decline in FX trading income which dropped to KES 3.71 Bn from KES 5.10 Bn; on the account of a stable shilling. Other fees also declined marginally by 2.9%y/y to KES 4.41 Bn. On the brighter side, 5.2%y/y growth in fees and commissions from digital lending solutions to KES 9.65 Bn cushioned the non-interest income. Notably, the lender registered an impressive 21.1%y/y growth in other income to KES 3.63 Bn bolstered by revenues from insurance and cash management.
- **Asset Quality:** The stock of Non-Performing Loans declined 6.0% to KES 38.68 Bn from KES 41.15 Bn in the period under review. Gross NPL ratio improved to 12.6% from 13.0%; and remains relatively below industry average. Additionally, NPL coverage improved to 68.9%; as the lender beefed up provisioning to reach KES 14.79 Bn. We expect that, as cost of borrowing continue to ease, bad loans will consequently soften across the banking industry.

Balance Sheet Dynamics

Total assets declined 2.0%y/y to KES 665.32 Bn. This can be attributed to a 3.5%y/y shrink in the loan book to KES 292.72 Bn in the review period, while, credit demand remained relatively muted in the country, going forward, we expect loan uptake to improve; leading economic indicators are pointing to a recovering business environment which means borrowing appetite may potentially improve. Notably, manufacturing sector accounted for the largest portion of the loan book at 23.0%, while in terms of client segmentation, disbursements to corporate led at 57.0%. Holding in government securities grew 2.2%y/y to KES 222.36 Bn from KES 217.51 Bn. On the liabilities side, total liabilities also declined 5.9%y/y to KES 545.07 Bn; this is largely attributable to 5.3%y/y decline in customer deposits to KES 487.96 Bn. We do note that the lender initiated a shake up in its funding base to lean more to a stronger CASA (Cash and Savings Accounts) base which is relatively cheaper, and this helps explain the decline in customer deposits. Notably, foreign currency deposits have drop slightly on the account of appreciation of the Kenyan shilling

Chart 2: Asset Composition

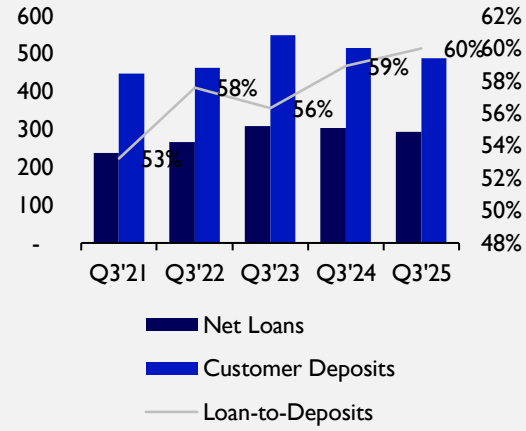


Source: Company filings, AIB-AXYS Research.

Outlook

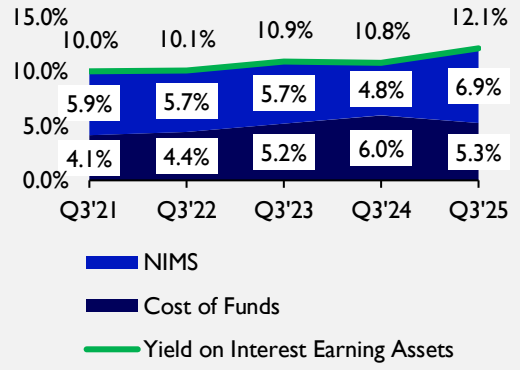
Going forward, we expect core banking activities to remain vibrant in the tail end of the year aided by improving business environment - in an accommodative monetary environment, this will support revenue growth. In addition, we expect the low-interest rate environment to continue to bolster easing cost of funds, as the lender take on less costly deposits, also noting the lender's funding mix is more inclined on CASA, this will eventually preserve margins, we are impressed by how this has played out so far. Subsidiaries outside Kenya are promising, with most delivering double digit growth, this will be a key driver for growth in the near term. Digital banking subsidiaries are also poised to accelerate growth for the Group. Non-banking subsidiaries have a healthy outlook, in particular - insurance which posted 197.4%y/y growth in profit before tax, asset management business is also growing, evidenced by healthy growth in assets under management. We opine, that the bank's focus on tapping more retail client will gradually lift client base and support growth (the lender branch network grew to 122, this will help in reaching more retail clientele). We are impressed with, NCBA's commitment to forging partnerships in the market which provides avenues for cross-selling as well as continuous roll out of new products in the market such as *CarDuka;* all these are fashioned to sustain long-term profitability.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Softening Cost of Funds



Source: Company filings, AIB-AXYS Research.

Recommendation

We maintain a *HOLD* recommendation on NCBA Group, supported by solid earnings momentum and a broadly diversified business model. At the current market price, the counter is trading at a P/E of 4.95x and a P/B of 1.05x. Our one-year target price is KES 81.54, offering about a 6.5% upside from current levels.

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y Change
Net Interest Income	20.20	23.25	25.96	25.14	32.04	▲ 27.4%
Non-Interest Income	16.08	22.54	20.74	21.82	21.40	▼ (1.9%)
Total Operating income	36.29	45.79	46.70	46.96	53.44	▲ 13.8%
Provision for Impairment	(9.17)	(8.33)	(6.07)	(4.08)	(5.08)	▲ 24.5%
Total Operating expenses	(24.68)	(26.87)	(28.13)	(28.57)	(32.99)	▲ 15.5%
Profit before tax	11.06	18.19	18.57	18.41	20.46	▲ 11.1%
Profit after tax	6.53	12.80	14.65	15.10	16.38	▲ 8.5%
Core EPS Annualized	5.28	10.36	11.85	12.22	13.25	▲ 8.5%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y Change
Government Securities	210.70	232.65	230.65	217.51	222.36	▲ 2.2%
Loans and Advances	238.17	266.11	308.70	303.45	292.72	▼ (3.5%)
Total Assets	**562.63**	**595.42**	**678.79**	**678.83**	**665.32**	▼ (2.0%)
Customer Deposits	447.62	462.11	548.13	515.11	487.96	▼ (5.3%)
Total Liabilities	487.65	514.49	590.28	579.02	545.07	▼ (5.9%)
Shareholder's Funds	**74.82**	**80.88**	**88.51**	**99.81**	**120.27**	▲ 20.5%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y Change
Spreads Analysis						
Yield on Assets	10.0%	10.1%	10.9%	10.8%	12.1%	▲ 1.4%
Cost of Funds	4.1%	4.4%	5.2%	6.0%	5.3%	▼ (0.7%)
Net Interest Margin	5.9%	5.7%	5.7%	4.8%	6.9%	▲ 2.0%
ROaE	11.8%	21.2%	18.4%	15.1%	21.0%	▲ 5.9%
ROaA	1.6%	2.8%	2.5%	2.1%	3.4%	▲ 1.3%
Profit Margin	18.0%	28.0%	31.4%	32.2%	30.6%	▼ (1.5%)
Operating Efficiency						
Cost to Income Less LLP	42.7%	40.5%	47.2%	52.1%	52.2%	▲ 0.1%
Cost to Assets Less LLP	2.8%	3.1%	3.2%	3.6%	4.2%	▲ 0.6%
Loan to Deposit	53.2%	57.6%	56.3%	58.9%	60.0%	▲ 1.1%
Asset Quality						
Gross NPL Ratio	17.5%	12.9%	13.3%	13.0%	12.6%	▼ (0.4%)
NPL Coverage	70.2%	65.3%	57.7%	59.7%	68.9%	▲ 9.2%
Cost of Risk	3.8%	3.1%	2.0%	1.3%	1.7%	▲ 0.4%
Capital Adequacy						
Core Capital/TRWA	19.0%	18.4%	17.2%	19.6%	21.9%	▲ 2.3%
Total Capital /TRWA	19.1%	17.5%	17.2%	19.7%	22.0%	▲ 2.3%
Liquidity	55.1%	55.1%	52.5%	53.7%	58.2%	▲ 4.6%



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Derivatives Trading

Email: Derivapplications@aib- axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG